



“Future policy actions by the Fed and overall global volatility; spike in food and vegetable prices leading to higher-than-expected inflation; and a rise in expectations of a China stimulus [are risks]”

MAHESH PATIL
CIO, ADITYA BIRLA
SUN LIFE AMC



“[The risks are] adverse developments in the international arena; a muddled economic performance from India; unexpected electoral outcome in India and its medium-term effects on policy”

JITEN DOSHI
CO-FOUNDER & CHIEF
INVESTMENT OFFICER,
ENAM AMC

62 |

stepped up infrastructure spending, and execution on the ground is expected to gather steam going ahead.

CORNERS OF POSITIVITY

When the benchmark BSE Sensex touched its all-time high of 67,619.17 on July 20, it had rallied a little over 11 per cent, compared to its 2022 close. More importantly, it had surged nearly 18.5 per cent from its low of 57,084.91 touched earlier this year. At its peak, it was among the best performing equity benchmark indices globally, though the ensuing correction has brought it to the middle of the pack.

As mentioned earlier, the rally was on the back of strong support in the form of factors like ample liquidity from FPIs and DIIs, resilience of the Indian economy, a better-than-expected economic recovery post-Covid-19, the strong balance sheets of corporates, and initiatives such as the PLI and ‘Make in India’ that are boosting manufacturing.

Experts say that while there are quite a few headwinds, there are a number of positives as well that can keep the market momentum going. The strong liquidity support is a big plus right now, with both FPIs and DIIs pumping in huge amounts of money to enhance their equity exposure in India. Incidentally, experts do not expect any quick reversal in these flows in the near future. “Given that India remains an oasis in a world of uncertainty around growth, inflation, interest rates, as well as geopolitical tensions, it would be reasonable not to expect any sharp outflows from the Indian markets in the absence of any negative developments,” says Tejas Gutka, Fund Manager at Tata Mutual Fund, while adding the caveat that India’s relative valuation premium could also act as a cap to high inflows.

Even prominent investor Vijay Kedia, MD of Kedia Securities, is “extremely bullish” on Indian equities. He lists strong FPI participation, private sector capex, and softening of inflation and interest rates as the key positives for the markets. “Over the next one year, the first six months should be bullish while the next six would be uncertain due to elections. After the elections, sentiment should improve as there is an in-built momentum in the economy, and therefore the next two to four years look very promising,” he says, while forecasting the Sensex to hit the 70,000-mark by the end of 2023.

Similarly, Anish Tawakley, Deputy CIO for Equity and Head of Research at ICICI Prudential Mutual Fund, says that over the next one year, the economy is well positioned for a cyclical recovery to be led by home-building. Though on a valuation basis, he believes, the Indian markets are not cheap and there is a froth building up in mid- and small-caps. Positive for the medium-to long-term, he expects capital spending to increase in the home-building sector, and consequently corporate capex to pick up as well. “We expect home-building activity to pick up and create a virtuous cycle. Home-building creates employment and it consequently creates demand for manufactured goods. As demand picks up, corporate capex will also pick up,” he adds.

A cyclical recovery is indeed imminent if one looks at metrics such as profitability as a share of the gross domestic product (GDP). For instance, the cumulative profit of NSE 500 companies as a share of the GDP has recovered and is close to the pre-pandemic levels. It has risen from 3.5 per cent in FY21 to 4.1 per cent in FY23, states a recent report from Standard Chartered. (See chart *Profits’ Progress*.) “Long-standing policy reforms, political stability, significant infrastructure investments and technological advancements are likely to aid improvements in per-capita income, boost discretionary consumption demand and enhance corporate prof-